

DoView Tool E11 - Suitability of a Social Investment Approach Checklist

Current approach

Funding not available to fix a social problem now that will lead to government expenditure in the future

Social problem continues into the future creating an ongoing stream of costs

Cost of social problem in the future is an ongoing burden to government, including from inter-generational problems

Social investment approach

The potential reduced cost to government in the future is used to justify funding to fix a social problem now

Ongoing stream of costs no longer created because social problem has been fixed

Reduced future cost to government due to the social problem being fixed and less inter-generational problems

Suitability of a Social Investment Approach Checklist

1. Is the social issue one that will create ongoing future financial costs to the government (e.g. treatment, imprisonment, affected third parties such as children)? IF YES, A SOCIAL INVESTMENT APPROACH MAY BE APPROPRIATE.
2. Are there evidence-based interventions that can be used now that are likely to reduce the social problem in the future? IF YES, A SOCIAL INVESTMENT APPROACH MAY BE APPROPRIATE.
3. Do the actuarial projections of costs and benefits work out to show a net benefit? IF YES, A SOCIAL INVESTMENT APPROACH MAY BE APPROPRIATE. EVEN IF THIS ANALYSIS DOES NOT SHOW A CLEAR NET BENEFIT, ANY COST SAVINGS IT DOES SHOW MAY BE ABLE TO BE USED TO BOLSTER THE ARGUMENT FOR INTERVENING BASED ON THE THIRD RATIONALE FOR GOVERNMENT ASSISTING CITIZENS (CREATING A LEVEL PLAYING FIELD)*.

* See the Determining Whose Outcomes - Citizen or Government's - The Rationales for Government Assistance Framework (B20).